

HOW TO SELECT

The selection process of Real estate investments is unstructured and there is no fixed method. Let us understand the common aspects of the evaluation process.

Firstly, we know that real estate returns depend on the location and surroundings. The economic growth in the surroundings— people coming to stay, roads and infrastructure developing, businesses growing, etc. are the factors that lead to an increase in demand for real estate in any given area. The process cannot be generalized as each micro-market is different and also, within each micro-market, individual properties are different. It depends on one's understanding of micro-markets, the demand and supply forces.

Even firms that invest in real estate, employ a large workforce to understand each micro-market. It is very difficult for individuals to evaluate all properties. Instead, individuals operate on an 'Availability' basis.

